ADVANCED FINANCIAL REPORTING

IFRS 8

OPERATING SEGMENTS

LESSON OBJECTIVES

- Outline the objective and scope of IFRS 8
- Define key terms used in the standard
- Determine the nature and extent of reportable segments
- Specify and discuss the nature of segment information to be disclosed

IFRS 8 – CORE PRINCIPLE

- Large entities produce a wide range of products/services in several different countries/locations.
- An entity shall disclose information to enable users of its financial statements to evaluate:
  - **the nature and financial effects of the business activities in which it engages and**
  - **the economic environments in which it operates.**

IFRS 8 – SCOPE

Applied by entities with

- publicly traded debt/equity securities or
- are in the process of filing financial statements for the purpose of issuing any class of instruments publicly

IFRS 8 – DEFINITION OF KEY TERMS

- Operating segment is a component of an entity:

  - That engages in business activities from which it may earn revenues and incur expenses
  - Whose operating results are regularly reviewed by CODM for resource allocation and assessment of performance
  - For which discrete financial information is available.

IFRS 8 – DEFINITION OF KEY TERMS

- Reportable Segments: An operating segments as earlier defined, or aggregation of operating segments that meet specified criteria (quantitative threshold).

The standard requires separate disclosure of information of each operating segment/aggregated operating segment that exceeds the quantitative threshold.

IFRS 8 – KEY TERMS

- Aggregation-Two or more segments with similar economic characteristics:
  - Nature of product
  - Nature of production process
  - The types/class of customers
  - Method of distribution of products/services
  - Regulatory environments

IFRS 8 – KEY TERMS

Chief Operating Decision Maker (CODM)

The individual or group of individuals who is/are responsible for

Strategic decision making regarding the entity. The CODM allocates resources and assesses performance of the operating segment.

The term 'chief operating decision maker' identifies a function, not necessarily a manager with a specific title. That function is to allocate resources to and assess the performance of the operating segments of an entity.

QUANTITATIVE THRESHOLD

10% Threshold

An operating segment should be reported on separately in the financial statements if any of the following criteria are met :

(a) Its revenue (internal and external) is 10% or more of total revenue;

(b) Its reported profit or loss is 10% or more of all segments in profit (or all segments in loss if greater); or

(c) Its assets are 10% or more of total assets.

QUANTITATIVE THRESHOLD

75% Threshold

- Segments should be reported until at least 75% of the entity's external revenue has been disclosed.
- If all segments satisfying the 10% criteria have been disclosed and they do not amount to 75% of total external revenue, additional operating segments should be disclosed (even if they do not meet the above criteria) until the 75% level is reached.

IFRS 8 - DISCLOSURES

- Requires disclosures of
  - Segment profit or loss
  - Segment assets and liabilities
  - Certain income and expense items (refer to the standard)
- Disclosures of revenues of products/services, and countries where revenues are earned or assets held even if not used for decision making by management
- Segments aggregated
- ***Refer to the IFRS 8 at a glance pdf for details of disclosure required.***

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